

Applicability

Exclusions/Exceptions

A. Operating Equipment Definition

B. Ongoing Purchases

SOP NUMBER: SOP-OPSFIN-240

Accounting for Operating Equipment & Uniforms

This Standard Operating Procedure outlines the treatment of Operating Equipment and uniforms at a Hotel.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. OPERATING EQUIPMENT DEFINITION

- 1) Operating Equipment in a Hotel consists of the following items:
 - a) China
 - b) Glassware
 - c) Silverware/Cutlery
 - d) Linen
- 2) No other items than those listed above are to be considered Operating Equipment.
- 3) Although Uniforms are not categorized as Operating Equipment, the same accounting treatment applies.
- 4) The definition of each of the above classifications of Operating Equipment is to be as per the latest edition of the Uniform System of Accounts for the Lodging Industry.

B. ONGOING PURCHASES

Operating Equipment can be accounted for in one of the two following ways:

- a) Direct Expense (preferred method) – i.e., expense as received.
- b) Amortized to Operating Expense – This method may be used where the direct expense method is deemed not to be appropriate due to irregular frequency of purchases. The purchase can be spread not to exceed 12 months from point of receipt. See FP-OPSFIN-142 – Accounts Payable Prepayments & Accruals for further guidance.